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MCQ BOOKLET

SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 2003

MCQs

1. As per Regulation 2(1)(b) of the SEBI (PFUTP) Regulations, 2003, the expression “dealing in securities” includes which of the following?
a) Only acts of buying and selling in secondary markets
b) Any act of buying, selling, or subscribing to any security, including transactions through mule accounts
c) Only trading done by intermediaries registered under SEBI
d) Only speculative transactions made on stock exchanges
e) Only off-market transfers between related parties

2. Which of the following does not amount to fraud under Regulation 2(1)(c) of the SEBI (PFUTP) Regulations, 2003?
a) A person making a promise without intention to perform it
b) A company hiding material facts to influence investor decisions
c) A broker making general comments on the economic policy of the Government in good faith
d) An issuer spreading misinformation that alters the market price
e) A trader knowingly concealing a fact to induce another to invest

3. Under Regulation 2(1)(da) of the SEBI (PFUTP) Regulations, 2003, a “mule account” refers to
a) An account used for algorithmic trading in derivatives
b) An account operated jointly by a broker and client for convenience
c) A trading or demat account held in one person’s name but effectively controlled by another
d) A bank account used solely for IPO applications
e) An institutional sub-account maintained by foreign portfolio investors

4. The definition of “fraud” under Regulation 2(1)(c) of the SEBI (PFUTP) Regulations, 2003, includes
a) Only acts done with proven wrongful gain or loss
b) Only deceitful acts proved in court
c) Any act, omission, or concealment to induce another person to deal in securities, whether or not wrongful gain or loss occurs
d) Acts punishable under the Indian Penal Code only
e) Only intentional misstatements made in public

5. According to Regulation 2(2) of the SEBI (PFUTP) Regulations, 2003, terms not defined in these regulations but defined in other securities laws shall carry meanings assigned in
a) The SEBI Act, 1992, and the Companies Act, 1956 only
b) The SEBI Act, the Securities Contracts (Regulation) Act, the Depositories Act, and the Companies Act, 2013
c) Only the Securities Contracts (Regulation) Act, 1956
d) SEBI circulars and press releases

e) The Indian Contract Act, 1872

6. Which of the following statements about “fraud” under Regulation 2(1)(c) of the SEBI (PFUTP) Regulations, 2003, is incorrect?
a) It includes reckless or careless representations even if true or false
b) It covers acts declared fraudulent under any other law
c) It excludes misinformation given by an issuer affecting market price
d) It includes acts of concealment or omission done with connivance or through agents
e) It extends to deceptive behaviour depriving another of informed consent

7. Which of the following acts is prohibited under Regulation 3(a) of the SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations, 2003?
a) Buying or selling securities in a fraudulent manner
b) Making public statements about market trends
c) Holding securities for more than 6 months
d) Providing advisory services without SEBI registration

8. Regulation 3(b) of the SEBI (PFUTP) Regulations, 2003, specifically prohibits which of the following?
a) Insider trading based on unpublished price-sensitive information
b) Employing any manipulative or deceptive device in connection with listed or proposed-to-be-listed securities
c) Non-disclosure of beneficial interest in shares
d) Delayed reporting of shareholding pattern to stock exchange
e) None of the above

9. Under Regulation 3(d) of the SEBI (PFUTP) Regulations, 2003, which of the following would amount to a violation?
a) Issuing shares to employees under ESOP
b) Any act, practice, or course of business that operates or would operate as fraud or deceit in dealing with securities
c) Conducting market research for trading patterns
d) Publishing a company’s annual financial report
e) None of the above

10. Under Regulation 4(1) of the SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 2003, which activities are prohibited?
a) Only fraudulent acts in securities market
b) Only insider trading and price rigging
c) Manipulative, fraudulent, or unfair trade practices
d) Only false disclosures to SEBI
e) None of the above

11. As per the SEBI (PFUTP) Regulations, 2003, the 2024 Amendment added which new activity as a manipulative and fraudulent practice?
a) Front running by brokers
b) Transactions through mule accounts
c) Price stabilization by mutual funds
d) Dissemination of misleading research reports
e) Excessive client margin collection

12. Under the SEBI (PFUTP) Regulations, 2003, creating a false or misleading appearance of trading (Reg. 4(2)(a)) constitutes
a) A manipulative trade practice
b) Benami investment
c) Non-disclosure violation
d) Legitimate price discovery mechanism
e) Routine speculative trade

13. According to Regulation 4(2)(b) of the SEBI (PFUTP) Regulations, 2003, dealing in securities without intention of actual ownership transfer but to influence price is
a) A valid speculative transaction
b) Permissible arbitrage
c) A manipulative and unfair trade practice
d) An exempted insider transaction
e) None of the above

14. Which of the following acts would amount to a violation under Regulation 4(2)(f) of the SEBI (PFUTP) Regulations, 2003?
a) Publishing unverified financial results of a listed company before trading
b) Short selling during a market correction
c) Non-filing of annual disclosures
d) Purchase of shares based on analyst opinion
e) Delay in dividend payment

15. Regulation 4(2)(n) of the SEBI (PFUTP) Regulations, 2003 prohibits which of the following?
a) Insider trading by company directors
b) Circular transactions creating a false appearance of market activity
c) High-frequency algorithmic trading
d) Cross-border trades in dual-listed shares
e) Intra-day price discovery by market makers

16. “Mis-selling” as defined in Regulation 4(2)(s) of the SEBI (PFUTP) Regulations, 2003 refers to
a) Selling unlisted securities without SEBI approval
b) Concealing risks or making false statements while selling securities or related services
c) Selling counterfeit physical share certificates
d) Providing unsolicited investment tips
e) Trading through dormant accounts

17. The 2018 Amendment to Regulation 4(2)(e) of the SEBI (PFUTP) Regulations, 2003 added which new form of manipulation?
a) Mis-selling of mutual fund units
b) Manipulation of reference or benchmark prices of securities
c) Churning of client portfolios
d) Market research bias
e) Client-level order bunching

18. Under Regulation 4(2)(t) of the SEBI (PFUTP) Regulations, 2003, which conduct is prohibited?
a) Front running of client orders
b) Illegal mobilization of funds through collective investment schemes
c) Disseminating false research by analysts
d) Non-reporting of pledged shares
e) Margin trading beyond limit

19. As per Explanation–1 to Regulation 4 of the SEBI (PFUTP) Regulations, 2003, which of the following is true?
a) Only the acts listed in Reg. 4(2) are punishable
b) Acts not listed may still fall under Reg. 3 if fraudulent
c) Only intermediaries are covered by these regulations
d) SEBI must issue notice before declaring an act fraudulent
e) Only omissions are punishable, not commissions

20. Under Regulation 5 of the SEBI (PFUTP) Regulations, 2003, who among the following is empowered to order an investigation into the affairs of any intermediary or person associated with the securities market?

a) Only the Chairman of SEBI
b) Only the Executive Director

c) The Board, Chairman, Member, or Executive Director (appointing authority)
d) The Finance Ministry of India
e) The Reserve Bank of India

21. As per Regulation 5 of the SEBI (PFUTP) Regulations, 2003, an investigation may be ordered when
a) A company fails to file its annual report with SEBI
b) SEBI suspects insider trading by a listed company's employee
c) Transactions in securities are being dealt with detrimentally to investors or in violation of SEBI regulations
d) A stock exchange requests SEBI to review its listings
e) The Ministry of Finance issues a circular for audit

22. Under Regulation 6(1) of the SEBI (PFUTP) Regulations, 2003, the Investigating Authority may call for information or records from
a) Any intermediary registered under SEBI only
b) Any person specified under Section 11(2)(i) of the SEBI Act, 1992
c) Only listed companies and their directors
d) Only banks and financial institutions
e) Any private entity involved in foreign trade

23. As per Regulation 6(2) of the SEBI (PFUTP) Regulations, 2003, inspection of company records can be undertaken when
a) The company fails to pay listing fees
b) SEBI has reasonable grounds to believe that the company has violated these regulations
c) The company's annual general meeting is delayed
d) A complaint is filed by shareholders
e) The company is under liquidation

24. The 2022 amendment to Regulation 6(2) of the SEBI (PFUTP) Regulations, 2003 substituted the term
a) "its business" with "its financial activities"
b) "its business activities" with "its activities"
c) "company operations" with "market operations"
d) "business dealings" with "securities transactions"
e) "listed activities" with "registered activities"

25. Under Regulation 6(4) of the SEBI (PFUTP) Regulations, 2003, the Investigating Authority may retain documents
a) For one month, extendable by Board approval
b) For six months, as per 2022 amendment
c) Until SEBI gives written permission
d) Only during ongoing court proceedings
e) For an indefinite period

26. As per Regulation 6(5) of the SEBI (PFUTP) Regulations, 2003, statements recorded during oral examination
a) Need not be read to the person examined
b) Must be recorded only by a judicial officer
c) Shall be read over to and signed by the person examined
d) Can be kept confidential without acknowledgment
e) Are optional unless SEBI directs otherwise

27. Under Regulation 6(6) of the SEBI (PFUTP) Regulations, 2003, the Investigating Authority can examine on oath
a) Any person associated with the securities market
b) Only SEBI officials
c) Only independent directors of listed companies
d) Any person holding over 10% shareholding
e) Only government employees

28. The 2022 amendment inserted Regulation 6(8) of the SEBI (PFUTP) Regulations, 2003, allowing SEBI's Investigating Authority to
a) Freeze bank accounts of defaulters directly
b) Make an application to the Designated Court, Mumbai, for seizure of records
c) Suspend registration of intermediaries immediately
d) Conduct search without court order
e) Forward findings to the Ministry of Finance

29. As per Regulation 6(10) of the SEBI (PFUTP) Regulations, 2003, searches and seizures by the Investigating Authority shall follow
a) The Indian Penal Code, 1860
b) The Evidence Act, 1872
c) The Code of Civil Procedure, 1908
d) The Code of Criminal Procedure, 1973
e) The Companies Act, 2013

30. Under Regulation 8(1)(a) of the SEBI (PFUTP) Regulations, 2003, every person under investigation is required to
a) Submit only an affidavit of compliance
b) Produce relevant books, accounts, and documents as required by the Investigating Authority
c) Pay a monetary penalty before appearing
d) File a written explanation within 15 days
e) Appear only through a legal representative

31. As per Regulation 8(1)(b) of the SEBI (PFUTP) Regulations, 2003, a person under investigation must
a) Submit an annual financial report
b) Appear personally before the Investigating Authority when required
c) Provide notarized statements through counsel only
d) Maintain documents for seven years post-investigation
e) Submit a joint compliance statement with the intermediary

32. The 2022 amendment substituted the reference to “Regulation 7” with which provision in Regulation 8(1) of the SEBI (PFUTP) Regulations, 2003?
a) Regulation 4
b) Regulation 5
c) Regulation 6
d) Regulation 9
e) Regulation 11A

33. As per Regulation 8(3)(a) of the SEBI (PFUTP) Regulations, 2003, persons under investigation must
a) Allow access to their premises to the Investigating Authority at all reasonable times
b) Grant access only during office hours with prior SEBI notice
c) Permit entry only to SEBI officers of Director rank or above
d) Provide access exclusively through digital records
e) Allow entry only in the presence of police officers

34. Regulation 8(3)(c) of the SEBI (PFUTP) Regulations, 2003 obligates the investigated person to
a) Provide printouts or electronic copies of records relevant to the investigation
b) Only maintain internal audit logs for SEBI review
c) Submit details of shareholders exceeding 5% holdings
d) Provide information only when ordered by the High Court
e) Maintain records for a minimum of three years post-investigation

35. Under Regulation 9 of the SEBI (PFUTP) Regulations, 2003, the Investigating Authority shall submit its report to
a) The Central Government
b) The Securities Appellate Tribunal
c) The appointing authority
d) The Adjudicating Officer
e) The SEBI Chairman directly

36. As per the proviso to Regulation 9 of the SEBI (PFUTP) Regulations, 2003, the Investigating Authority may submit an interim report
a) Only after the completion of inspection of all intermediaries

b) When directed by the Board or if necessary in the interest of investors and the securities market
c) Only with the written approval of the Finance Ministry
d) After consulting the concerned intermediary
e) When more than six months have elapsed since initiation of investigation

37. Under Regulation 10 of the SEBI (PFUTP) Regulations, 2003, the Board may issue directions or take action after
a) Filing a criminal complaint before a magistrate
b) Considering the report of the Investigating Authority and giving an opportunity of hearing
c) Receiving approval from the Ministry of Corporate Affairs
d) Getting confirmation from the Stock Exchange concerned
e) Issuing a public notice in two newspapers

38. The Board may dispense with a pre-decisional hearing under Regulation 10 of the SEBI (PFUTP) Regulations, 2003, if
a) The concerned person requests waiver in writing
b) It records reasons in writing and provides a post-decisional hearing later
c) The violation involves only procedural lapses
d) The matter pertains to insider trading
e) The person under investigation fails to respond within 30 days

39. Under Regulation 11(1) of the SEBI (PFUTP) Regulations, 2003, the Board may issue directions such as suspension of trading, restraint from market access, or impounding of proceeds
a) Only after completion of investigation or enquiry
b) Only with prior approval of the Central Government
c) Either pending investigation/enquiry or on completion of such proceedings
d) Only when criminal prosecution has been launched
e) Only with consent of the person concerned

40. According to Regulation 11(2) of the SEBI (PFUTP) Regulations, 2003, any final order passed by the Board under Regulation 11(1) must
a) Be published in the Official Gazette only
b) Be put on the website of the Board
c) Be communicated only to the stock exchanges
d) Be placed before the Securities Appellate Tribunal
e) Be sent to the Ministry of Finance for approval

41. Under Regulation 11A(1) of the SEBI (PFUTP) Regulations, 2003, a summons or notice issued by the Board may be served through which of the following modes?
a) Only by registered post with acknowledgment due
b) By personal delivery, fax, electronic mail, instant messaging, courier, or post
c) Only through publication in newspapers

d) Only through physical delivery at the registered office
e) Only through the person's advocate

42. According to Regulation 11A(1) of the SEBI (PFUTP) Regulations, 2003, when a summons or notice is sent through electronic mail or electronic instant messaging services, it must
a) Be sent without any signature requirement
b) Be digitally signed by the competent authority
c) Be followed by a hard copy within 7 days
d) Be notarized and uploaded on SEBI's website
e) Be sent only during office hours

43. Under Regulation 11A(3) of the SEBI (PFUTP) Regulations, 2003, if service by delivery, post, or affixing fails, SEBI may serve the summons or notice by
a) Email only
b) Publication in at least two newspapers, one English and one regional
c) Sending it to the stock exchange concerned
d) Forwarding it to the Registrar of Companies
e) Posting it on SEBI's official notice board

44. Under Regulation 12(1) of the SEBI (PFUTP) Regulations, 2003, the Board may take which of the following actions against an intermediary in the interest of investors and the securities market?
a) Issue warning or censure
b) Suspend registration
c) Cancel registration
d) All of the above
e) Only (b) and (c)

45. According to the 2022 amendment, the Board's power under Regulation 12(1) of the SEBI (PFUTP) Regulations, 2003, is without prejudice to
a) The Securities Contracts (Regulation) Act, 1956
b) Any action under the securities laws or directions or circulars issued thereunder
c) The Companies Act, 2013
d) The Prevention of Money Laundering Act, 2002
e) The Depositories Act, 1996

46. No final order of suspension or cancellation of registration under Regulation 12 of the SEBI (PFUTP) Regulations, 2003, shall be passed unless
a) SEBI obtains approval from the Central Government
b) The procedure in the SEBI (Intermediaries) Regulations, 2008 is followed
c) A press release is issued in two national newspapers
d) The intermediary voluntarily consents
e) The case is referred to SAT (Securities Appellate Tribunal)

47. Under Regulation 13(1), which earlier regulation was repealed by the SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 2003?
a) SEBI (Intermediaries) Regulations, 1992
b) SEBI (Stock Broker) Regulations, 1992
c) SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 1995
d) SEBI (Insider Trading) Regulations, 1992
e) SEBI (Merchant Bankers) Regulations, 1992

48. As per Regulation 13(3) of the SEBI (PFUTP) Regulations, 2003, investigations pending at the commencement of the 2003 Regulations shall be
a) Closed automatically
b) Referred to the Enforcement Directorate
c) Continued and disposed of under the 2003 Regulations
d) Reopened under SEBI (Intermediaries) Regulations, 2008
e) Handed over to stock exchanges

Answers and Solutions

1. Answer B

Under Regulation 2(1)(b) of the SEBI (Prohibition of Fraudulent and Unfair Trade Practices, PFUTP) Regulations, 2003, the term “dealing in securities” is broadly defined to encompass any act of buying, selling, or subscribing to securities, including transactions executed through third-party accounts, such as mule accounts. The definition is intentionally wide to cover not only formal trades on stock exchanges but also any circumvention of rules through intermediaries or proxy accounts. Option A is incorrect because limiting the definition to secondary market transactions ignores primary market subscriptions and other indirect dealings. Option C is wrong as it restricts the definition to intermediaries registered with SEBI, whereas the law applies to all participants, including unregistered actors if the act falls under PFUTP. Option D is also too narrow, as speculative transactions are only a subset of “dealing in securities.” Option E is incorrect because off-market transfers between related parties are covered if done to induce trading or manipulate the market. The inclusion of mule accounts is crucial because it prevents unscrupulous investors from using third parties to disguise the actual source of trades or manipulate securities prices. SEBI has repeatedly highlighted that any act, regardless of how indirect, that results in acquisition or disposal of securities for unfair or fraudulent purposes falls under this definition. Hence, Answer B is correct, “dealing in securities” includes buying, selling, or subscribing to securities, including via mule accounts.

2. Answer C

Regulation 2(1)(c) defines fraud broadly, encompassing acts or omissions made with intent to deceive, manipulate, or induce others to deal in securities. Examples include making false promises, hiding material facts, or spreading misinformation. However, good-faith commentary on general economic policies by a broker or analyst is explicitly not considered fraud, as it is not intended to deceive, manipulate the market, or induce trading based on misrepresentation.
Options A, B, D, and E involve intentional or reckless misrepresentation that can mislead investors, directly impacting market integrity and potentially causing loss or wrongful gain. In contrast, general commentary, when provided sincerely to inform clients or the market without deceptive intent, does not amount to fraudulent conduct. This exclusion ensures that market participants can freely express legitimate opinions without fear of regulatory action, promoting transparency and market efficiency. The key principle is intent and effect: fraud under PFUTP requires inducement of trading or reliance on deception. Statements made in good faith without intent to induce trading or mislead investors are therefore exempt. This distinction balances regulatory enforcement against investor protection with the need for market commentary and advice. Thus, Answer C is correct, general economic commentary in good faith is not fraud.

3. Answer C

Under Regulation 2(1)(da) of PFUTP Regulations, 2003, a “mule account” refers to a trading or demat account held in one person’s name but effectively controlled by another person. Such accounts are often used to disguise the identity of the actual trader, enabling circumvention of trading restrictions, market manipulation, or avoidance of regulatory scrutiny. By defining mule accounts, SEBI ensures that the legal responsibility for trading activities extends to the beneficial controller, not just the nominal account holder. Option A is incorrect because algorithmic trading accounts are not automatically considered mule accounts; the defining factor is control by another person. Option B is wrong; joint convenience accounts do not constitute mule accounts unless control is misappropriated. Option D is irrelevant; bank accounts used for IPO subscriptions are not inherently mule accounts. Option E is incorrect because institutional sub-accounts for foreign investors are regulated differently and are not automatically deemed mule accounts. This definition is essential for enforcement of PFUTP Regulations because it allows SEBI to trace manipulative or deceptive trades to the actual decision-maker, preventing circumvention through nominal account holders. It is part of SEBI’s broader framework to enhance market integrity, transparency, and investor protection. Hence, Answer C is correct, a mule account is held in one person’s name but effectively controlled by another.

4. Answer C

The definition of fraud under Regulation 2(1)(c) PFUTP is intentionally broad and preventive, covering any act, omission, or concealment intended to induce another person to deal in securities, whether or not a wrongful gain or loss occurs. This includes deliberate misstatements, omissions of material facts, or schemes designed to mislead investors. Option A is incorrect because fraud does not require proof of gain or loss. Option B is wrong; acts do not need to be proven in court to constitute fraud under SEBI regulations. Option D is too narrow, as fraud is not limited to acts punishable under the Indian Penal Code. Option E is incorrect; fraud is not limited to public misstatements. This comprehensive definition ensures that SEBI can act preventively, addressing market misconduct even before financial harm occurs. It also includes omissions and concealment, recognizing that failure to disclose critical information can be as damaging as overt misrepresentation. By not tying fraud to gain or loss, the regulation emphasizes intent and potential market impact, which is critical for maintaining market fairness and investor confidence. Thus, Answer C is correct, fraud includes any act, omission, or concealment to induce another person to deal in securities, irrespective of whether wrongful gain or loss occurs.

5. Answer B

Regulation 2(2) specifies that terms not defined in PFUTP Regulations, 2003 but defined under other securities laws are to carry the meanings assigned therein. These include the SEBI Act, the Securities Contracts (Regulation) Act, 1956, the Depositories Act, 1996, and the Companies Act, 2013. Option A is incorrect because limiting to Companies Act, 1956 and SEBI Act is outdated. Option C is too narrow, considering only the SCRA. Option D (circulars) and Option E (Indian Contract Act) are incorrect as they do not legally define securities terms. This cross-reference ensures consistency across securities law, allowing PFUTP Regulations to integrate seamlessly with broader statutory definitions, maintaining legal clarity and reducing ambiguity in enforcement actions. Hence, Answer B is correct, terms not defined in PFUTP Regulations take meanings from SEBI Act, SCRA, Depositories Act, and Companies Act 2013.

6. Answer C

All other options are correct interpretations of fraud; the incorrect statement is Option C, which claims that misinformation by an issuer affecting market price is excluded. In reality, such misinformation is explicitly covered as fraud under PFUTP. Fraud encompasses acts that manipulate prices, mislead investors, or conceal material information, regardless of whether the issuer is public or private. Option A is correct; reckless statements can be fraud. Option B is correct; fraud includes acts recognized under other laws. Option D is correct; acts through agents or with connivance are included. Option E is correct; deception depriving informed consent is fraud. Hence, the statement in Option C is incorrect, making it the correct answer to the question.

7. Answer A

Regulation 3(a) explicitly prohibits buying or selling securities in a fraudulent manner. This is foundational to PFUTP, ensuring all trading is conducted fairly and transparently. Options B, C, and D are incorrect; making public market statements, holding securities, or providing unregistered advisory services may be regulated elsewhere, but only 3(a) specifically addresses fraudulent trading. Thus, Answer A is correct.

8. Answer B

Regulation 3(b) prohibits employing any manipulative or deceptive device in connection with listed or proposed-to-be-listed securities, encompassing schemes, artifices, or strategies intended to distort market prices. Option A (insider trading) is governed by PIT regulations. Options C and D are compliance matters but not PFUTP violations. Hence, Answer B is correct.

9. Answer B

Regulation 3(d) prohibits any act, practice, or course of business operating as fraud or deceit in dealing with securities, covering manipulative schemes, false representations, or intentional concealment. Options A, C, D are legitimate corporate activities and do not constitute fraud.
Thus, Answer B is correct.

10. Answer C

Regulation 4(1) broadly prohibits manipulative, fraudulent, or unfair trade practices in the securities market, ensuring market integrity and investor protection. Options A, B, and D are narrower; the regulation is designed to be comprehensive. Hence, Answer C is correct.

11. Answer B

The 2024 amendment to the SEBI (PFUTP) Regulations, 2003, specifically added “transactions through mule accounts” as a form of manipulative and fraudulent practice. A mule account typically involves an account controlled by one person but operated by another, often to obscure the identity of the true trader and facilitate market manipulation. he *SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) (Amendment) Regulations, 2024* (effective mid-2024) specifically introduced the definition of **"Mule Account"** (Reg 2(1)(da)) and amended Regulation 4(1) to deem transactions through mule accounts as fraudulent. Such transactions may be used to create false market activity, inflate volumes, or artificially influence prices, undermining the integrity of the securities market. The inclusion of this activity in the PFUTP regulations reflects SEBI’s proactive approach to address emerging manipulation techniques facilitated by technological and procedural loopholes. Option (a), front running, was already prohibited under pre-existing regulations. Option (c), price stabilization by mutual funds, is separately governed under SEBI MF regulations. Option (d), dissemination of misleading research reports, and (e), excessive client margin collection, are regulated differently and are not part of the 2024 amendment. Therefore, (b) is correct, aligning with the statutory objective of curbing manipulative trading through indirect accounts, ensuring market transparency, and protecting investors from fraudulent schemes.

12. Answer A

Creating a false or misleading appearance of trading is explicitly categorized as a manipulative trade practice under Regulation 4(2)(a) of the PFUTP Regulations. Such practices involve creating artificial volumes, price movements, or apparent demand/supply to deceive market participants. The objective is to maintain fair and orderly markets; any trade intended to mislead the market undermines price discovery, investor confidence, and transparency. Option (b), benami investment, refers to ownership in someone else’s name but is not directly the creation of misleading market activity. Option (c), non-disclosure violation, pertains to failure to disclose material information rather than creating false trading patterns. Option (d), legitimate price discovery, is the exact opposite of a manipulative trade. Option (e), routine speculative trade, involves genuine risk-taking and does not involve deceit. Therefore, (a) is correct, reflecting the statutory intent to punish any artificial manipulation that misleads other market participants.

13. Answer C

Regulation 4(2)(b) defines as a manipulative and unfair trade practice any dealing in securities without the intention of actual ownership transfer, undertaken solely to influence the market price. Such trades, often called “round-trip trades” or “wash sales,” distort market prices and mislead investors regarding supply-demand dynamics. This is explicitly prohibited because it undermines price discovery and may lead to investor losses or market inefficiency. Option (a), valid speculative transaction, is incorrect as speculation involves risk-taking with genuine ownership intent. Option (b), permissible arbitrage, is a legitimate hedging or market balancing activity and is legal. Option (d), exempted insider transaction, is irrelevant; insider trading rules govern price-sensitive information. Option (e), none of the above, is incorrect since the regulation specifically addresses such trades. Hence, (c) is correct, reinforcing SEBI’s statutory goal to prevent manipulative, non-genuine market transactions that distort the securities market.

14. Answer A
Regulation 4(2)(f) prohibits dissemination of false or misleading information that can affect

securities trading. Publishing unverified financial results before proper confirmation constitutes a violation because it misleads investors and creates artificial market responses. Misleading corporate disclosures can distort pricing and trading decisions, potentially causing investor losses. SEBI classifies this as a manipulative practice because it impacts fair market functioning and transparency. Option (b), short selling during a market correction, is a legal trading activity if compliant with SEBI norms. Option (c), non-filing of annual disclosures, is a regulatory compliance issue but distinct from manipulative practices under PFUTP. Option (d), purchasing shares based on analyst opinion, involves legitimate decision-making. Option (e), delay in dividend payment, is a corporate action issue, not market manipulation. Therefore, (a) is correct, as it directly aligns with PFUTP provisions prohibiting misleading information that may influence market prices.

15. Answer B
Regulation 4(2)(n) prohibits circular transactions creating a false appearance of market activity. Circular trading involves coordinated buy and sell trades among related parties to simulate artificial demand or liquidity, misleading other investors. SEBI treats such conduct as manipulative because it falsely signals market trends, interferes with price discovery, and violates investor protection principles. Option (a), insider trading by directors, is regulated separately under SEBI Insider Trading Regulations. Option (c), high-frequency algorithmic trading, is regulated under algorithmic trading norms. Option (d), cross-border trades in dual-listed shares, are outside PFUTP's direct scope. Option (e), intra-day price discovery by market makers, is legitimate trading activity. Hence, (b) is correct, emphasizing the PFUTP prohibition against artificially inflating market activity via circular transactions.

16. Answer B
"Mis-selling" under Regulation 4(2)(s) refers to the act of concealing risks or making false statements while selling securities or related services. Mis-selling misleads investors, often resulting in uninformed decisions and financial loss. SEBI identifies this as a fraudulent practice because it erodes investor trust and violates principles of fair dealing in the securities market. Option (a), selling unlisted securities without SEBI approval, is a regulatory violation but not specifically defined as mis-selling. Option (c), selling counterfeit physical shares, involves fraud but is a separate offense. Option (d), providing unsolicited investment tips, is non-compliant advice, not mis-selling. Option (e), trading through dormant accounts, is improper trading, not mis-selling. Therefore, (b) is correct, reflecting statutory intent to ensure complete and accurate disclosure during sales of securities or related services.

17. Answer B
The 2018 amendment to Regulation 4(2)(e) added manipulation of reference or benchmark prices as a form of unfair trading. This includes acts aimed at influencing indices, benchmark rates, or reference prices to benefit certain market participants. The statutory objective is to preserve the integrity of benchmark determination and prevent investors from being misled by artificially influenced prices. Option (a), mis-selling of mutual fund units, falls under a different provision (Reg 4(2)(s)). Option (c), churning client portfolios, is addressed under intermediaries' conduct norms. Option (d), market research bias, is covered under analyst regulations. Option

(e), client-level order bunching, is a separate order-routing concern. Hence, (b) is correct, reinforcing SEBI's objective to prevent manipulation of prices that act as reference points in the market.

18. Answer C
Regulation 4(2)(t) prohibits dissemination of false research reports by analysts or intermediaries. Misleading research can affect investor decisions, distort market perception, and impact pricing. SEBI considers such dissemination a manipulative and fraudulent practice under PFUTP because it interferes with fair trading and market integrity. Option (a), front running, is already separately prohibited. Option (b), illegal mobilization of funds, is governed by collective investment regulations. Option (d), non-reporting of pledged shares, is a separate disclosure violation. Option (e), exceeding margin limits, falls under margin trading rules. Therefore, (c) is correct, reflecting SEBI's statutory goal to maintain market integrity through accurate and truthful research disclosures.

19. Answer B
Explanation–1 to Regulation 4 clarifies that acts not explicitly listed in Regulation 4(2) may still constitute fraudulent or manipulative practices under Regulation 3. This ensures SEBI has the flexibility to act against evolving forms of market manipulation, even if new methods are not enumerated. Option (a) is incorrect; Reg 4(2) lists examples but is not exhaustive. Option (c) is wrong; PFUTP applies to any market participant, not only intermediaries. Option (d) is incorrect; SEBI can act ex-post based on investigation, and notice procedures vary. Option (e) misinterprets the law; both commissions and omissions may be punishable. Therefore, (b) is correct, emphasizing the comprehensive coverage and SEBI's statutory authority to curb manipulative and fraudulent practices beyond the listed examples.

20. Answer C
Regulation 5 of the PFUTP Regulations empowers the Board of SEBI, the Chairman, any Member, or the Executive Director acting under appointment authority to order investigations into the affairs of intermediaries or any person associated with the securities market. This provision ensures SEBI can investigate potential manipulative practices, insider trading, or other violations to protect investors and market integrity. Option (a) is incorrect; investigation powers are not restricted solely to the Chairman. Option (b), only the Executive Director, understates SEBI's collective authority. Option (d), Finance Ministry, has no statutory power under PFUTP for investigations. Option (e), Reserve Bank of India, is a separate regulator and not empowered under SEBI PFUTP Regulations. Therefore, (c) is correct, reflecting the statutory framework enabling SEBI to exercise investigative oversight to ensure market fairness and prevent fraudulent or manipulative practices.

21. Answer C

Regulation 5 of the SEBI PFUTP Regulations, 2003 empowers SEBI to initiate investigations whenever it has reason to believe that transactions in securities are being conducted in a manner detrimental to investors or in violation of SEBI regulations. This is a preventive and protective measure to safeguard market integrity and ensure investor confidence. Option A is incorrect because failure to file annual reports alone does not automatically trigger a PFUTP investigation; it may be a separate compliance matter. Option B (suspected insider trading) would be covered under PIT regulations, not PFUTP per se. Option D, requests from stock exchanges, can prompt SEBI action but do not themselves constitute a statutory trigger. Option E (Ministry of Finance circulars) is irrelevant to PFUTP enforcement. The focus is transactions that harm the market or investors, including manipulative or deceptive trades, fraudulent schemes, and activities contrary to fair market practices. SEBI's investigative authority under Regulation 5 is broad, allowing the regulator to proactively examine suspicious patterns and prevent systemic risk. Hence, Answer C is correct, investigation can begin when transactions are detrimental to investors or violate SEBI regulations.

22. Answer B

Regulation 6(1) provides that the Investigating Authority (IA) may summon any person specified under Section 11(2)(i) of the SEBI Act, 1992, which includes intermediaries, companies, and other market participants, to provide information, records, or documents relevant to the investigation. Option A is too narrow; it is not limited to SEBI-registered intermediaries. Option C (only listed companies) and D (only banks) are overly restrictive. Option E (private foreign trade entities) is irrelevant unless explicitly connected to securities violations. This regulation ensures SEBI can obtain comprehensive information from all relevant participants in the securities market, providing a statutory basis for inspection and record production. It is designed to prevent obstruction and facilitate thorough investigation of fraud, manipulative practices, or market misconduct. Thus, Answer B is correct.

23. Answer B

Under Regulation 6(2), SEBI may inspect company records when it has reasonable grounds to believe that the company has violated PFUTP Regulations. The standard of "reasonable belief" is lower than proof and allows proactive enforcement. Option A (failure to pay listing fees), C (delayed AGM), D (shareholder complaint), and E (liquidation) do not automatically justify inspection under PFUTP. SEBI's authority is preventive, allowing inspection before harm occurs, based on credible information or suspicion of irregularities. This power is critical for detecting market manipulation, fraudulent trades, or non-compliance, giving SEBI access to books, accounts, and other records necessary for effective regulation. Hence, Answer B is correct.

24. Answer B

The 2022 amendment to Regulation 6(2) substituted the term "its business activities" with "its activities" to broaden the scope of SEBI's inspection powers. The amendment clarifies that SEBI's authority is not restricted to core business functions but extends to all activities of the entity that may relate to securities market compliance, ensuring comprehensive oversight.
Options A, C, D, and E are incorrect because they do not reflect the specific wording of the amendment. This change enhances SEBI's investigative powers, allowing scrutiny of operational areas that may indirectly affect securities market integrity. Hence, Answer B is correct.

25. Answer C

Under Regulation 6(4), the Investigating Authority may retain documents and records collected during the investigation until SEBI provides written permission for their return or disposal. This provision ensures that critical evidence is preserved throughout the investigation and any subsequent enforcement or adjudication proceedings. Option A (fixed one month) and B (six months) are incorrect; there is no automatic timeline. Option D (only during court proceedings) and E (indefinite period) are also incorrect. Retention is conditional on SEBI's written authorization, balancing investigatory needs with the rights of entities under investigation. Thus, Answer C is correct.

26. Answer C

Regulation 6(5) mandates that statements recorded during oral examinations shall be read over to and signed by the person examined. This ensures accuracy, transparency, and legal validity of testimony, protecting the rights of the examinee while maintaining procedural fairness in investigations. Options A (not read), B (judicial officer only), D (kept confidential), and E (optional) violate procedural safeguards. Reading and signing the statements creates a formal record admissible in proceedings under SEBI's enforcement framework. Hence, Answer C is correct.

27. Answer A

Regulation 6(6) empowers the Investigating Authority to examine on oath any person associated with the securities market. This includes intermediaries, employees of listed companies, promoters, and other participants who may have information relevant to a PFUTP investigation. Options B (SEBI officials only), C (only independent directors), D (only >10% shareholders), and E (only government employees) are unduly restrictive and do not align with SEBI's broad investigatory mandate. Thus, Answer A is correct.

28. Answer B

The 2022 amendment inserted Regulation 6(8), allowing SEBI's Investigating Authority to apply to the Designated Court, Mumbai, for seizure of records. This amendment ensures that SEBI can preserve critical evidence in cases involving potential market fraud or manipulation, using the legal framework to seize records without direct conflict with due process. Option A (direct freezing of bank accounts) and D (conduct search without court order) exceed IA's authority. Options C and E do not reflect the amendment's scope. Hence, Answer B is correct.

29. Answer D

Regulation 6(10) specifies that searches and seizures conducted by SEBI's Investigating Authority shall follow the procedures laid down in the Code of Criminal Procedure, 1973 (CrPC). This ensures consistency with criminal investigative procedures, safeguards rights of persons under investigation, and provides statutory backing for enforcement actions. Options A (IPC), B

(Evidence Act), C (CPC), and E (Companies Act) do not prescribe the procedural framework for searches and seizures. Compliance with CrPC ensures legality and admissibility of evidence in SEBI proceedings or civil/court actions. Thus, Answer D is correct.

30. Answer B

Under Regulation 8(1)(a), every person under investigation must produce all relevant books, accounts, and documents as required by the Investigating Authority. This includes financial records, trading data, correspondence, and other materials necessary for investigation. Options A, C, D, and E are incorrect; PFUTP does not limit compliance to affidavits, prepayment of penalties, filing written explanations within 15 days, or only appearing through legal representatives. The obligation is document and evidence production, ensuring SEBI can conduct a thorough investigation. Hence, Answer B is correct.

31. Answer B

Regulation 8(1)(b) of the SEBI (PFUTP) Regulations, 2003, mandates that a person under investigation must personally appear before the Investigating Authority whenever required. This requirement ensures that the Investigating Authority can question the concerned individual directly, clarify facts, and verify explanations regarding alleged manipulative or fraudulent practices. Personal appearance helps SEBI maintain a robust investigation process and allows for cross-verification of documentary evidence and oral testimony. Option (a), submitting annual financial reports, is a general compliance requirement for companies, not specific to investigation under PFUTP. Option (c), providing notarized statements through counsel only, undermines SEBI's power to directly question individuals. Option (d), maintaining documents for seven years post-investigation, relates to record-keeping but does not substitute personal appearance. Option (e), submitting joint compliance statements with intermediaries, is not mandated under Regulation 8(1)(b). Therefore, (b) is correct, reflecting SEBI's statutory intent to ensure investigatory efficacy and accountability of persons under investigation.

32. Answer C

The 2022 amendment to Regulation 8(1) of the PFUTP Regulations substituted references to "Regulation 7" with Regulation 6. This amendment clarified the procedural alignment regarding investigation powers and obligations of persons under investigation. Regulation 6 deals with SEBI's powers to initiate investigation into suspected manipulative or fraudulent activities, whereas Regulation 7 had addressed related but distinct matters. The substitution ensures consistency in legal references and procedural clarity. Options (a), (b), (d), and (e) are incorrect as they do not relate to the statutory substitution made by the 2022 amendment. Therefore, (c) is correct, reflecting the updated legal framework for investigations under SEBI PFUTP Regulations.

33. Answer A

Regulation 8(3)(a) obligates the person under investigation to allow Investigating Authorities access to their premises at all reasonable times. This access is crucial for SEBI to examine books, records, electronic systems, and other relevant documents. It facilitates a comprehensive understanding of the alleged manipulative or fraudulent practices and helps SEBI gather evidence efficiently. Option (b), limiting access to office hours with prior notice, unduly restricts SEBI's investigatory powers. Option (c), permitting entry only to officers of Director rank or above, is unnecessarily restrictive. Option (d), providing access exclusively through digital records, ignores the need to physically examine documents. Option (e), allowing entry only in the presence of police officers, is irrelevant, as PFUTP investigations are civil/regulatory in nature. Therefore, (a) is correct, ensuring SEBI can effectively exercise its statutory powers.

34. Answer A

Regulation 8(3)(c) mandates that the investigated person must provide printouts or electronic copies of records relevant to the investigation. SEBI requires this to verify trading activity, transactional records, correspondence, and financial documents. Timely and accurate provision of these records enables SEBI to identify manipulative or fraudulent conduct and maintain the integrity of securities markets. Option (b), maintaining internal audit logs only, is insufficient for SEBI's investigative scope. Option (c), submitting details of shareholders exceeding 5%, is a specific corporate disclosure requirement, not a PFUTP investigatory obligation. Option (d), providing information only on High Court order, misrepresents regulatory powers. Option (e), maintaining records post-investigation, relates to compliance but not immediate investigative access. Therefore, (a) is correct, ensuring SEBI's authority to gather comprehensive evidence during investigations.

35. Answer C

Under Regulation 9, the Investigating Authority submits its report to the appointing authority, which could be the Board, Chairman, Member, or Executive Director, depending on delegation. The appointing authority then examines findings, decides on further proceedings, and may forward the report for adjudication or enforcement. This chain ensures proper oversight, accountability, and a structured process from investigation to potential action. Option (a), the Central Government, is not directly involved in routine PFUTP investigations. Option (b), Securities Appellate Tribunal, only reviews orders, not investigation reports. Option (d), Adjudicating Officer, acts downstream after the investigation. Option (e), SEBI Chairman directly, misrepresents delegation mechanisms. Therefore, (c) is correct, reflecting statutory reporting structures in PFUTP investigations.

36. Answer B

The proviso to Regulation 9 allows the Investigating Authority to submit interim reports when directed by the Board or if necessary in the interest of investors and the securities market.
Interim reporting enables SEBI to take timely action or issue warnings when ongoing manipulative activities could pose immediate risk, rather than waiting for completion of the entire investigation. Option (a), only after completing inspections, delays intervention. Option (c), requiring Finance Ministry approval, is not statutorily required. Option (d), after consulting the intermediary, is optional but not mandatory. Option (e), after six months, is arbitrary and not aligned with regulatory intent. Therefore, (b) is correct, emphasizing SEBI's proactive role in investor protection and market integrity.

37. Answer B

Regulation 10 empowers the Board to issue directions or take action after considering the report of the Investigating Authority and giving an opportunity of hearing. This ensures procedural fairness and due process before imposing penalties or directives against persons suspected of manipulative or fraudulent activities. The Board evaluates evidence, considers explanations, and ensures compliance with PFUTP norms before acting. Option (a), filing a criminal complaint, is outside civil/regulatory powers. Option (c), Ministry of Corporate Affairs approval, is not required. Option (d), stock exchange confirmation, is advisory at best. Option (e), issuing public notice in newspapers, is not part of statutory due process. Therefore, (b) is correct, reflecting SEBI's balanced approach of investigation, hearing, and regulatory action.

38. Answer B

The Board may dispense with a pre-decisional hearing if it records reasons in writing and provides a post-decisional hearing. This flexibility is important in urgent cases, where delaying action could harm investors or the market. Post-decisional hearing ensures the person under investigation still has an opportunity to challenge actions, maintaining due process. Option (a), waiver requested by the concerned person, is not mandatory. Option (c), procedural lapses, is insufficient justification. Option (d), insider trading, is a category of violation, not procedural grounds. Option (e), failure to respond in 30 days, does not automatically allow skipping pre-decisional hearing. Therefore, (b) is correct, upholding SEBI's balance between urgency and procedural fairness.

39. Answer C

Regulation 11(1) allows the Board to issue directions either pending investigation/enquiry or on completion of proceedings. This includes suspension of trading, restraint from market access, or impounding of proceeds. This statutory power ensures that SEBI can prevent further market harm while investigations are ongoing, or enforce remedies after findings. Option (a), only after completion, limits preventive capability. Option (b), requiring Central Government approval, is not applicable. Option (d), only when criminal prosecution is launched, misinterprets civil regulatory powers. Option (e), only with consent, is inconsistent with statutory authority. Therefore, (c) is correct, reflecting SEBI's dual preventive and corrective powers under PFUTP.

40. Answer B

Regulation 11(2) mandates that any final order issued by the Board under Regulation 11(1) must be placed on the SEBI website. This ensures transparency, public accessibility, and awareness among investors and market participants. Posting on the website allows stakeholders to monitor enforcement and understand regulatory actions. Option (a), Official Gazette only, is not the prescribed method. Option (c), communicated only to stock exchanges, limits public visibility. Option (d), Securities Appellate Tribunal, is for review, not publication. Option (e), Ministry of Finance approval, is not required. Therefore, (b) is correct, reflecting SEBI's commitment to transparency and investor protection.

41. Answer B

Regulation 11A(1) allows SEBI to serve a summons or notice through multiple modes, including personal delivery, fax, electronic mail, instant messaging, courier, or post. This flexibility is designed to ensure that notices reach the concerned parties efficiently, even if traditional methods fail. Option A is too restrictive, as service is not limited to registered post. Option C (newspaper publication only) and D (physical delivery at registered office only) are incorrect because SEBI can use multiple channels. Option E (through advocate only) is also incorrect; representation by an advocate is not a substitute for proper service. This multi-modal approach ensures that service is effective, timely, and enforceable, which is crucial in PFUTP investigations where delays could compromise evidence preservation or market integrity. The regulation reflects SEBI's need to balance due process with practical enforceability, especially in a digital age where electronic communication is common. Hence, Answer B is correct.

42. Answer B

Regulation 11A(1) specifies that notices sent electronically, including email or instant messaging, must be digitally signed by the competent authority. This provides authentication and ensures that recipients can verify the legitimacy of the notice. Option A (no signature) is invalid, as unsigned electronic notices could be contested. Option C (follow-up hard copy within 7 days) is not mandated. Option D (notarization and website upload) is unnecessary, and Option E (sending only during office hours) is irrelevant. The digital signature requirement ensures compliance with legal standards and establishes proof of issuance, preventing disputes regarding authenticity. This is particularly important when notices are challenged in legal proceedings or the Securities Appellate Tribunal. Hence, Answer B is correct.

43. Answer B

Under Regulation 11A(3), if service by delivery, post, or affixing fails, SEBI may serve the summons or notice by publication in at least two newspapers, one in English and one regional language. Options A (email only), C (stock exchange), D (ROC), and E (SEBI notice board) are not prescribed as substitute methods. Publication in newspapers ensures that the notice reaches the intended person publicly, creating a presumption of service if personal service is not feasible. This mechanism is particularly useful for hard-to-locate respondents or in cases where traditional communication fails, ensuring procedural fairness while maintaining the enforceability of the summons. Hence, Answer B is correct.

44. Answer D

Regulation 12(1) empowers SEBI to take any action it considers necessary in the interest of investors and the securities market against an intermediary. This includes:

- Issuing a warning or censure,
- Suspending registration,
- Cancelling registration.

Options A, B, and C are individually correct but incomplete; only Option D encompasses all actions SEBI may take. Option E excludes warnings/censure, so it is also incomplete. This wide range of powers ensures SEBI can respond proportionately to violations, from minor misconduct (warning) to serious fraud (cancellation), maintaining market integrity and investor protection. Hence, Answer D is correct.

45. Answer B

The 2022 amendment clarifies that the Board's powers under Regulation 12(1) are without prejudice to any action under securities laws or directions/circulars issued thereunder. Options A, C, D, and E are not the specific legal reference intended by the amendment. This provision ensures that SEBI can exercise multiple regulatory powers simultaneously, without being limited or prevented by overlapping statutory frameworks. It reinforces SEBI's broad enforcement capability across all securities laws. Hence, Answer B is correct.

46. Answer B

No final order of suspension or cancellation of registration under Regulation 12 may be passed unless the procedure in the SEBI (Intermediaries) Regulations, 2008 is followed. This ensures due process, including the right to be heard, opportunity for representation, and adherence to procedural safeguards. Option A (Central Government approval), C (press release), D (voluntary consent), and E (SAT referral) are not mandatory preconditions. Following the 2008 Intermediaries Regulations ensures legal validity and enforceability of any final action taken against intermediaries. Hence, Answer B is correct.

47. Answer C

Regulation 13(1) repealed the SEBI (Prohibition of Fraudulent and Unfair Trade Practices relating to Securities Market) Regulations, 1995. Options A, B, D, and E pertain to other regulatory frameworks and were not repealed by the 2003 PFUTP Regulations. The repeal ensures that investigations and enforcement proceed under the new 2003 Regulations, consolidating rules on fraudulent and unfair trade practices for clarity and efficiency. Hence, Answer C is correct.

48. Answer C

Regulation 13(3) states that investigations pending at the commencement of the 2003 Regulations shall continue and be disposed of under the 2003 Regulations. Options A (closed automatically), B (referred to ED), D (under Intermediaries Regulations), and E (stock exchanges) are incorrect. This provision ensures continuity and legal consistency in the handling of ongoing cases, avoiding jurisdictional or procedural gaps caused by the transition from the 1995 Regulations to the 2003 Regulations. Hence, Answer C is correct.